LENDS-UP FINANCIAL SERVICES LTD

AUDIT REPORT

Item	Details
Subject	Fraud, Theft, Ghost Loans, and Gross Misconduct Investigation
Branch	Luzira Branch
Location	Luzira Trading Centre, Nakawa – Kampala
Auditee	Mr. Kagina William: Loans Officer/Field Officer
Supervisor Concerned	Mr. Kamugisha Alex: Supervisor
Audit Period	01 April 2026 to 12 May 2026
Affected Clients	67 Clients
Confirmed Financial Loss	UGX 14,250,000 *(Fourteen Million Two Hundred Fifty Thousand Shillings Only)*
Report Type	Internal Audit Investigation Report

1) Executive Summary

Internal Audit conducted an investigation into suspected fraud, theft, ghost lending, and operational misconduct involving **Mr. Kagina William**, a Loans Officer at Lends Up Financial Services Ltd, Luzira Branch, located at Luzira Trading Centre, Nakawa–Kampala.

The investigation established that Mr. Kagina William intentionally failed to deliver the approved loan funds to the rightful and to remit field loan repayments collected from clients and instead converted the funds for personal use, resulting in a confirmed shortage of **UGX 14,250,000** affecting **67 clients**. These actions caused severe financial and emotional distress to clients who depended on the loans for medical treatment, business operations, and family welfare.

During the course of the audit investigation, **Mr. Kagina William absconded from duty on 11 May 2026**, an act interpreted as deliberate avoidance of accountability and ongoing audit procedures.

The investigation additionally identified serious supervisory negligence involving **Mr. Kamugisha Alex**, the Branch Supervisor, who failed to execute his oversight responsibilities despite reportedly escorting the Loans Officer to the field on a daily basis. Evidence indicates that the ghost loans were issued in his presence and under his supervision. Mr. Kamugisha Alex further absconded from work on **12 May 2026** after being instructed to accompany the field auditor for reinspection and client verification exercises.

2) Background and Scope of Audit

2.1 Background

Lends Up Financial Services Ltd operates a field-based microfinance lending system where Loans Officers are responsible for recruiting clients, assessing businesses, processing loan applications, collecting repayments, and submitting both repayments and documentation to the office.

Supervisors are expected to oversee field operations, verify loan activities, ensure compliance, and monitor the conduct of Loans Officers.

2.2 Scope of Audit

The audit covered the following areas during the period **1st April 2026 to 12th May 2026**:

- Loan repayment collection and remittance records
- Loan application documentation and approval procedures
- Client verification and existence confirmation
- Loan disbursement procedures
- Ghost loan identification and portfolio review
- Field supervision and management oversight
- Financial loss and reputational impact assessment

3) Roles and Responsibilities

3.1 Loans Officer Responsibilities: Mr. Kagina William

As a Loans Officer, Mr. Kagina William was responsible for:

- Recruiting and onboarding clients
- Inspecting client businesses
- Preparing and submitting genuine loan applications
- Collecting and remitting loan repayments
- Delivering approved loans to clients

- Maintaining proper client records and portfolio integrity
- Protecting company resources and reputation

The audit established that he intentionally failed to fulfill these responsibilities and instead abused his position for personal gain.

3.2 Supervisor Responsibilities: Mr. Kamugisha Alex

As Branch Supervisor, Mr. Kamugisha Alex was responsible for:

- Supervising field operations and Loans Officers
- Verifying authenticity of loan applications and clients
- Monitoring loan disbursement and collections
- Conducting spot checks and field oversight
- Preventing fraud and operational irregularities
- Escalating suspicious activity to management

The investigation established that he failed to exercise proper supervision and oversight.

4) Detailed Audit Findings

Finding 1: Failure to Remit Client Loan Repayments (Theft by Conversion)

The audit established that Mr. Kagina William collected loan repayments from clients in the field but intentionally failed to submit the funds to the office.

Instead, the funds were diverted and used for personal purposes, resulting in a confirmed shortage of:

UGX 14,250,000 *(Fourteen Million Two Hundred Fifty Thousand Shillings Only)*

Finding 2: Misappropriation of Client Loan Funds and Irregular Loan Processing

The audit established that several clients genuinely applied for loans and properly completed the required loan application documentation. The applications were processed and approved by the office, and loan funds were disbursed accordingly. However, the auditees deliberately failed to deliver the approved loan funds to the rightful clients and instead converted the money for personal use.

The investigation further confirmed that the affected clients were continuously misled and falsely informed that their loan applications were still pending approval, despite the funds having already been disbursed by the office.

The audit additionally identified serious irregularities within the loan processing and verification procedures, including:

- Loan funds being received by the auditees on behalf of clients without client acknowledgment or confirmation
- Clients being deliberately deceived regarding the status of their approved loans
- Supporting documentation lacking credible verification and proper accountability controls
- Weak supervisory oversight during loan disbursement and client verification processes
- Failure to maintain transparent and accurate loan disbursement records

These actions constituted fraud, misrepresentation, abuse of office, and intentional misappropriation of company funds and client entitlements.

Finding 3: Absconding from Duty During Audit Investigation

During the ongoing audit investigation:

- **Mr. Kagina William absconded from work on 11 May 2026**
- His disappearance interrupted audit procedures and accountability efforts

The conduct is considered highly suspicious and indicative of deliberate avoidance of investigation processes.

Finding 4: Supervisory Negligence and Failure of Oversight

The investigation established that:

- Mr. Kamugisha Alex regularly escorted the Loans Officer during field activities
- Ghost loans were issued in his presence and under his supervision
- He failed to detect, prevent, or report the fraudulent activities

Further, when instructed to accompany the field auditor for reinspection and verification of remaining clients:

- **Mr. Kamugisha Alex absconded from work on 12 May 2026**

5) Root Cause Assessment

The fraud and operational failures were enabled by:

- Weak client verification controls
- Poor segregation of duties
- Inadequate supervision and field oversight
- Weak reconciliation of collections against expected repayments
- Excessive dependence on manual field processes
- Lack of and Delayed branch monitoring and surprise audits

6) Conclusion

Internal Audit concludes that:

Mr. Kagina William

Engaged in:

- Fraud
- Theft
- Forgery
- Creation of ghost loans
- Gross misconduct
- Abuse of office

Resulting in:

- A confirmed shortage of **UGX 14,250,000**
- Harm to **67 clients**
- Significant reputational and operational damage to Lends Up Financial Services Ltd

Mr. Kamugisha Alex

Failed in his supervisory duties through:

- Gross negligence
- Failure of oversight and control
- Failure to prevent or report fraudulent activities
- Absconding from duty during audit procedures

7) Recommendations

7.1 Immediate Actions

1. Immediately classify both officers as absconded staff pending disciplinary action.
2. Confirm and Recover all company property, records from the Auditees.
3. Initiate recovery proceedings for the lost funds.
4. File formal complaints with relevant law enforcement authorities for criminal investigation and prosecution.
5. Conduct a complete portfolio review for all loans processed under the affected branch during the audit period and find a replacement immediately.

7.2 Control and Operational Improvements

1. Introduce independent client verification before loan approval.
2. Require direct client confirmation during disbursement.
3. Strengthen supervisory accountability and documentation.
4. Conduct surprise field audits and random portfolio inspections.
5. Digitize collection tracking and repayment confirmation systems.
6. Strengthen reconciliation procedures between field collections and office records.

8. Attachments: Company License, Affected Clients’ Details, Daily Financial Reports, Staff Bio-data

Audited and Complied By:

Audit and Compliance Department, Lends-Up Financial Services Ltd